

of the remaining account balance. For a 4 percent withdrawal rate and a \$100 initial balance, annual spending is half of \$4 on an inflation-adjusted basis, and half of 4 percent of the remaining account balance throughout retirement.

This hybrid strikes a balance between trying to stabilize spending and allowing it to fluctuate in response to portfolio performance. Real spending drops to about \$3 (a 25 percent decrease from the initial level) in the historical data, which is midway between a constant \$4 and the \$2 threshold reached with the pure fixed-percentage strategy. Similarly, wealth balances are less strained than with the constant spending rule but fall behind what is left with the pure fixed-percentage strategy.

Hybrid rules lead to more stable spending than fixed-percentage rules, but they increase the risk that assets can be depleted as well. For this reason, the sustainable spending rate associated with hybrid rules generally falls between the spending rates for the other two rules. This allows income fluctuation and some response to market conditions, but not as much as with the fixed-percentage rule. Also, wealth can still run out, though not as soon as with the constant inflation-adjusted withdrawal rule.

Exhibit 6.7

Time Path of Real Spending and Wealth

Endowment Formula—Hybrid

For 4% Initial Spending Rate, 50/50 Asset Allocation, Rolling 30-Year Retirements

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds